

Section : Economics

Q.1 Which of the following statements are true for the Indifference Curve?

- (A). A higher indifference curve gives a greater level of utility.
- (B). The indifference curve slopes downwards from right to left.
- (C). The indifference curve slopes downwards from left to right.
- (D). Two indifference curves never intersect each other.

Choose the correct answer from the options given below:

- 1. (A), (B) and (D) only
- 2. (A), (C) and (D) only
- 3. (A), (B), (C) and (D)
- 4. (B), (C) and (D) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.2 Arrange a statement of market equilibrium when the demand curve shifts leftward:

- (A). The shift indicates that at any price the quantity demanded is less than before.
- (B). Some firms will reduce the price of their commodity so that they can sell their desired quantity.
- (C). Excess supply will arise.
- (D). At the new equilibrium, quantity and price will be less than before.

Choose the correct answer from the options given below:

- 1. (A), (B), (C), (D)
- 2. (A), (C), (B), (D)
- 3. (B), (A), (D), (C)
- 4. (C), (B), (D), (A)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.3 The set of all possible combinations of the two inputs, labour and capital, that yield the same maximum possible level of output is called.....

- 1. Indifference Curves.
- 2. Isocost curve.
- 3. Production Possibility Set.
- 4. Isoquant.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.4 Which of the following statements are true in macroeconomics?

- (A). $GVA \text{ at factor costs} + \text{Net production taxes} = GVA \text{ at basic prices.}$
- (B). $GVA \text{ at basic prices} + \text{Net product taxes} = GVA \text{ at market prices.}$
- (C). $GNP = GDP - \text{Net factor income from abroad.}$
- (D). $NNP = GNP - \text{Depreciation.}$

Choose the correct answer from the options given below:

- 1. (A), (B) and (C) only
- 2. (A), (B) and (D) only
- 3. (A), (B), (C) and (D)
- 4. (B), (C) and (D) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.5is the situation where the equilibrium level of output is less than the full employment of output.

- 1. Excess Supply.

- 2. Excess Demand.
- 3. Deficient Demand.
- 4. Deficient Supply.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.6 The RBI can influence money supply by changing the rate at which it gives long-term loans to commercial banks. This rate is called the.....

- 1. Reverse repo rate.
- 2. Bank Rate.
- 3. Cash Reserve Ratio.
- 4. Repo Rate.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.7 The price elasticity of demand is different at different points on the linear demand curve. Arrange the elasticity point on a downward sloping (left to right) demand curve.

- (A). $|e_D| = 0$
- (B). $|e_D| = 1$
- (C). $|e_D| > 1$
- (D). $|e_D| < 1$

Choose the correct answer from the options given below:

- 1. (A), (B), (C), (D)
- 2. (A), (C), (B), (D)
- 3. (B), (A), (D), (C)
- 4. (C), (B), (D), (A)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.8 Perfect information implies that all buyers and all sellers are completely informed about the price, quality and other relevant details about the product, as well as the market. These features result in the single most distinguishing characteristic of perfect competition, that is

- 1. Perfect information.
- 2. Free entry and exit.
- 3. Price taking behaviour.
- 4. Large number of buyers and sellers.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.9 Firms can choose where to locate production and workers to choose where to work. There are various immigration laws which restrict the movement of labour between countries. This market is called...

- 1. Input Market.
- 2. Output Market.
- 3. Financial Market.
- 4. Labour Market.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.10 Identify from the following, the three functions that operate through the expenditure and receipts of the government are

- 1. Allocation, Distribution and Stabilisation.

2. Reallocation, Stabilisation and Redistribution.
3. Allocation, Stabilisation and Equilibrium.
4. Allocation, Redistribution and Stabilisation.

Options 1. 1

2. 2
3. 3
4. 4

Q.11 Match List-I with List-II

List-I List-II

- | | |
|--------|--|
| (A) M1 | (I) Currency held by the public and net demand deposits held by commercial banks |
| (B) M2 | (II) M3 + Total deposits with Post Office savings organisations |
| (C) M3 | (III) M1 + Net time deposits of commercial banks |
| (D) M4 | (IV) M1 + Savings deposits with Post Office savings banks |

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (IV), (C) - (III), (D) - (II)
2. (A) - (I), (B) - (III), (C) - (II), (D) - (IV)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.12 In long run as long as average cost is falling, marginal cost must be less than the.....

1. Total Fixed Cost.
2. Average Variable Cost.
3. Average cost.
4. Total Cost.

Options 1. 1

2. 2
3. 3
4. 4

Q.13 Match List-I with List-II

List-I

List-II

- | | |
|---------------------------------------|---------------------------------------|
| (A). Cobb-Douglas Production Function | (I). $f(tx_1, tx_2) > t.f(x_1, x_2)$ |
| (B). Constant returns to scale | (II). $f(tx_1, tx_2) < t.f(x_1, x_2)$ |
| (C). Increasing returns to scale | (III). $q = x_1^\alpha x_2^\beta$ |
| (D). Decreasing returns to scale | (IV). $f(tx_1, tx_2) = t.f(x_1, x_2)$ |

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (I), (B) - (III), (C) - (II), (D) - (IV)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.14 For the firm to continue to produce, in the long run, price must be greater than the average cost ($p > AC$) and in the short run, price must be greater than the.....

1. Average variable cost.
2. Average fixed cost.

3. Marginal cost.

4. Total cost.

Options 1. 1

2. 2

3. 3

4. 4

Q.15 Steel sheets are used for making automobiles and copper used for making utensils, what type of goods are these (Steel and Copper)?

1. Consumption Goods.

2. Final Goods.

3. Intermediate Goods.

4. Capital Goods.

Options 1. 1

2. 2

3. 3

4. 4

Q.16 In the short run and long run, the shapes of the cost curves for a typical firm are defined as

(A). SMC curve cuts the AVC curve from below at its minimum point.

(B). LRAC curve cuts the LRMC curve from below at the minimum point of LRMC.

(C). SMC curve cuts the SAC curve from below at the minimum point of SAC.

(D). Average fixed cost curve is downward sloping.

Choose the correct answer from the options given below:

1. (A), (C) and (D) only

2. (A), (B) and (C) only

3. (A), (B), (C) and (D)

4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.17 Let us consider the example of a market consisting of identical farms producing the same quality of wheat. Suppose the market demand curve and the market supply curve for wheat are given by: $q^D = 200 - p$ and $q^S = 120 + p$ What is the equilibrium price?

1. Rs. 40 per kg.

2. Rs. 30 per kg.

3. Rs. 50 per kg.

4. Rs. 20 per kg.

Options 1. 1

2. 2

3. 3

4. 4

Q.18 Which of the following statements are true:

(A). Average propensity to consume is the change in consumption per unit to change in income.

(B). Ex-ante depicts what has been planned.

(C). Ceteris paribus means 'other things remain equal'.

(D). Ex-post depicts what has actually happened.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only

2. (A), (B) and (C) only

3. (A), (B), (C) and (D)

4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.19 A shock absorber which makes disposable income, and thus consumer spending, less sensitive to fluctuations in GDP is called.....

1. Automatic stabiliser.
2. Government spending.
3. Fiscal policy.
4. Monetary policy.

Options 1. 1

2. 2
3. 3
4. 4

Q.20 The price of a commodity increases by 10%, its demand drops by 12%. What is the nature of price elasticity of demand?

1. Price Inelastic.
2. Price Elastic.
3. Unit Elastic.
4. Income elastic.

Options 1. 1

2. 2
3. 3
4. 4

Q.21 Which of the following factor makes the demand curve to shifts leftward for a normal goods?

1. When the consumer's income increases.
2. Consumer's preferences change in favour of a good.
3. The price of goods decrease.
4. When the consumer's income decreases.

Options 1. 1

2. 2
3. 3
4. 4

Q.22 Economic exchanges without the mediation of money are referred to as.....

1. Medium of exchange.
2. Barter exchanges.
3. Unit of account.
4. Store of value.

Options 1. 1

2. 2
3. 3
4. 4

Q.23 Match List-I with List-II

List-I

- (A). The level of utility can be expressed in numbers.
- (B). The change in total utility due to consumption of one additional unit of a commodity,
- (C). The total satisfaction derived from consuming the given amount of some commodity
- (D). The level of utility can be expressed in ranks.

List-II

- (I). Total Utility
- (II). Ordinal Utility
- (III). Cardinal Utility
- (IV). Marginal Utility

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (I), (B) - (III), (C) - (II), (D) - (IV)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3

Q.24is an economy in which there is both the private sector and the government.

1. Capitalist economy.
2. Mixed economy.
3. Private economy.
4. Government economy.

Options 1. 1

2. 2
3. 3
4. 4

Q.25 If there is a positive level of output at which a firm's profit is maximised in the short run, that condition must not hold at that output level.

1. Price = Short run Marginal Cost.
2. Short run Marginal Cost is non-decreasing.
3. Price = Short run Average Cost.
4. Price $\geq$ Average Variable Cost.

Options 1. 1

2. 2
3. 3
4. 4

Q.26 For example, there is an increase in international travel by Indians. What will be the effect on the domestic currency?

- (A). Demand curve shifts upward and right to the original demand curve.
- (B). Demand for foreign goods and services increases.
- (C). Depreciation of domestic currency (rupees) in terms of foreign currency (dollars).
- (D). The value of rupees in terms of dollars has fallen and value of dollar in terms of rupees has risen.

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.27 The current account is the record of trade in goods and services and transfer payments. Arrange the following components in terms of service.

- (A). Current account.
- (B). Net factor income + Net Non-factor income.
- (C). Net investment income + Net income from compensation of employees.
- (D). Trade in services.

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (A), (D), (B), (C)

Options 1. 1

2. 2
3. 3
4. 4

Q.28 When labor changes from 3 to 4, the total product changes from 24 to 40, calculate the marginal product.

1. 14.
2. 10.
3. 16.
4. 12.

Options 1. 1

2. 2
3. 3
4. 4

Q.29 In the long run, average cost must be rising as the firm increases output as long as the..... operates.

1. Increasing Returns to Scale.
2. Law of Variable Proportions.
3. Decreasing Returns to Scale.
4. Constant Returns to Scale.

Options 1. 1

2. 2
3. 3
4. 4

Q.30 Among the following what are the functions of money?

- (A). Medium of exchange.
- (B). Unit of account.
- (C). Unit of purchasing power.
- (D). Store of value.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.31 Match List-I with List-II

List-I

List-II

(A). Gross Domestic Product at Market Prices (GDPMP)

(I). $C+I+G+(X-M)$

(B). Gross Domestic Product at Factor Cost (GDPFC)

(II). GDPMP–Depreciation

(C). Net Domestic Product at Market Prices (NDPMP)

(III). GDPMP–Net Product Taxes

(D). Net Domestic Product at Factor Cost (NDPFC)

(IV). NDPMP
–Net Product Taxes–Net Production Taxes

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (I), (B) - (III), (C) - (II), (D) - (IV)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.32 The scarcity of resources in the economy gives rise to the problem of.....

1. Decision-making.
2. Production.

3. Choice.
4. Consumption.

Options 1. 1

2. 2
3. 3
4. 4

Q.33 When more workers are hired, the land begins to get 'crowded'. Each worker now has insufficient land to work efficiently. So the output added by each additional worker is now proportionally less as a result the marginal product begins to.....

1. Constant.
2. Rise.
3. Fall.
4. Zero.

Options 1. 1

2. 2
3. 3
4. 4

Q.34 Exchange rate determined by the market forces of demand and supply is also known as.....

1. Fixed Exchange Rate.
2. Floating Exchange Rate.
3. Managed Floating Exchange Rate.
4. Foreign Exchange Rate.

Options 1. 1

2. 2
3. 3
4. 4

Q.35 The change in output per unit of change in the input when all other inputs are held constant, is termed as.....

1. Total Product.
2. Marginal Product.
3. Average Product.
4. Marginal Utility.

Options 1. 1

2. 2
3. 3
4. 4

Q.36 Budgetary deficits must be financed by either taxation, borrowing or printing money. Governments have mostly relied on borrowing, giving rise to.....

1. Government expenditure.
2. Government surplus.
3. Government budget.
4. Government debt.

Options 1. 1

2. 2
3. 3
4. 4

Q.37 International economic transactions are called when transactions are made due to some reason other than to bridge the gap in the balance of payments, that is, when they are independent of the state of balance of payments.

1. Errors and omissions.
2. Accommodating transactions.
3. Autonomous transactions.
4. Official reserve sale.

Options 1. 1

2. 2
3. 3
4. 4

Q.38 The curve gives the maximum amount of corn that can be produced in the economy for any given amount of cotton and vice versa. This curve is called.....

1. Production Possibility Set.
2. Isoquant Curve.
3. Production Possibility Frontier.
4. Indifference Curve.

Options 1. 1

2. 2
3. 3
4. 4

Q.39 Arrange the following statement considering the effects on total income and output when the government purchases

- (G) increase keeping taxes constant.
- (A). Planned aggregate expenditure will increase.
- (B). When G exceeds T, the government runs a deficit.
- (C). Equilibrium income will increase.
- (D). Aggregate demand schedule shifts rightward.

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.40 Match List-I with List-II

List 1

List 2

- | | |
|---|----------------------------|
| (A). Marginal propensity to consume (MPC) | (I). C/Y |
| (B). Consumption function | (II). $C+I$ |
| (C). Average propensity to consume (APC) | (III). $\Delta C/\Delta Y$ |
| (D). Aggregate Demand | (IV). $\bar{C}+cY$ |

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (I), (B) - (III), (C) - (II), (D) - (IV)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.41 GDP figures and other macroeconomic variables

Suppose a country only produces rice. In the year 2020, it produced 100 Kg of rice. The price was Rs 10 per kg of rice and the GDP at the current price was Rs 1,000. In 2021, the same country will produce 110 Kg of rice at a price of Rs 15 per kg.

What is the nominal GDP in 2021?

1. Rs 1760.
2. Rs. 1600.
3. Rs 1560.
4. Rs 1650.

Options 1. 1

2. 2
3. 3

Q.42 GDP figures and other macroeconomic variables

Suppose a country only produces rice. In the year 2020, it produced 100 Kg of rice. The price was Rs 10 per kg of rice and the GDP at the current price was Rs 1,000. In 2021, the same country will produce 110 Kg of rice at a price of Rs 15 per kg.

What is real GDP in 2021?

1. Rs 1,100.
2. Rs 1,000.
3. Rs 1,200.
4. Rs 1,300.

Options 1. 1

2. 2
3. 3
4. 4

Q.43 GDP figures and other macroeconomic variables

Suppose a country only produces rice. In the year 2020, it produced 100 Kg of rice. The price was Rs 10 per kg of rice and the GDP at the current price was Rs 1,000. In 2021, the same country will produce 110 Kg of rice at a price of Rs 15 per kg.

What is GDP deflator?

1. 160 percent.
2. 140 percent.
3. 150 percent.
4. 170 percent.

Options 1. 1

2. 2
3. 3
4. 4

Q.44 GDP figures and other macroeconomic variables

Suppose a country only produces rice. In the year 2020, it produced 100 Kg of rice. The price was Rs 10 per kg of rice and the GDP at the current price was Rs 1,000. In 2021, the same country will produce 110 Kg of rice at a price of Rs 15 per kg.

What is the base year?

1. 2011.
2. 2020.
3. 2021.
4. 1981.

Options 1. 1

2. 2
3. 3
4. 4

Q.45 GDP figures and other macroeconomic variables

Suppose a country only produces rice. In the year 2020, it produced 100 Kg of rice. The price was Rs 10 per kg of rice and the GDP at the current price was Rs 1,000. In 2021, the same country will produce 110 Kg of rice at a price of Rs 15 per kg.

What is change in price?

1. -15
2. +5
3. + 10
4. +15

Options 1. 1

2. 2
3. 3
4. 4

Q.46 Determination of Income and Employment

When, at a particular price level, the aggregate demand for final goods

equals the aggregate supply of final goods, the final goods or product market reaches its equilibrium. Aggregate demand for final goods consists of ex ante consumption, ex ante investment, government spending etc. The rate of increase in ex ante consumption due to a unit increment in income is called marginal propensity to consume. For simplicity, we assume a constant final goods price and constant rate of interest over the short run to determine the level of aggregate demand for final goods in the economy. We also assume that the aggregate supply is perfectly elastic at this price. Under such circumstances, aggregate output is determined solely by the level of aggregate demand. This is known as the effective demand principle. An increase (decrease) in autonomous spending causes aggregate output of final goods to increase (decrease) by a larger amount through the multiplier process.

In the short run, to determine the level of aggregate demand for final goods in the economy, what will be the affect on price and rate of interest?

1. Price will increase and rate of interest will constant.
2. Price will constant and rate of interest remain constant.
3. Price will increase and rate of interest will increase.
4. Price remain constant and rate of interest will increase.

Options 1. 1

2. 2
3. 3
4. 4

Q.47 Determination of Income and Employment

When, at a particular price level, the aggregate demand for final goods equals the aggregate supply of final goods, the final goods or product market reaches its equilibrium. Aggregate demand for final goods consists of ex ante consumption, ex ante investment, government spending etc. The rate of increase in ex ante consumption due to a unit increment in income is called marginal propensity to consume. For simplicity, we assume a constant final goods price and constant rate of interest over the short run to determine the level of aggregate demand for final goods in the economy. We also assume that the aggregate supply is perfectly elastic at this price. Under such circumstances, aggregate output is determined solely by the level of aggregate demand. This is known as the effective demand principle. An increase (decrease) in autonomous spending causes aggregate output of final goods to increase (decrease) by a larger amount through the multiplier process.

A decrease in autonomous spending causes aggregate output of final goods to through the multiplier process

1. Increase by small amount.
2. Decrease by large amount.
3. Equal increase.
4. Increase by large amount.

Options 1. 1

2. 2
3. 3
4. 4

Q.48 Determination of Income and Employment

When, at a particular price level, the aggregate demand for final goods equals the aggregate supply of final goods, the final goods or product market reaches its equilibrium. Aggregate demand for final goods consists of ex ante consumption, ex ante investment, government spending etc. The rate of increase in ex ante consumption due to a unit increment in income is called marginal propensity to consume. For simplicity, we assume a constant final goods price and constant rate of interest over the short run to determine the level of aggregate demand for final goods in the economy. We also assume that the aggregate supply is perfectly elastic at this price. Under such circumstances, aggregate output is determined solely by the level of aggregate demand. This is known as the effective demand principle. An increase (decrease) in autonomous spending causes aggregate output of final goods to increase (decrease) by a larger amount through the multiplier process.

The equilibrium in the final goods or production market reaches when.....

1. Aggregate demand equals aggregate supply.
2. Aggregate demand greater than aggregate supply.

3. Aggregate demand less than aggregate supply.
4. Aggregate demand and aggregate supply equals zero.

Options 1. 1

2. 2
3. 3
4. 4

Q.49 Determination of Income and Employment

When, at a particular price level, the aggregate demand for final goods equals the aggregate supply of final goods, the final goods or product market reaches its equilibrium. Aggregate demand for final goods consists of ex ante consumption, ex ante investment, government spending etc. The rate of increase in ex ante consumption due to a unit increment in income is called marginal propensity to consume. For simplicity, we assume a constant final goods price and constant rate of interest over the short run to determine the level of aggregate demand for final goods in the economy. We also assume that the aggregate supply is perfectly elastic at this price. Under such circumstances, aggregate output is determined solely by the level of aggregate demand. This is known as the effective demand principle. An increase (decrease) in autonomous spending causes aggregate output of final goods to increase (decrease) by a larger amount through the multiplier process.

Consumption, investment and government spending are the major components of.....?

1. Aggregate supply.
2. Aggregate demand.
3. Final goods.
4. Multiplier.

Options 1. 1

2. 2
3. 3
4. 4

Q.50 Determination of Income and Employment

When, at a particular price level, the aggregate demand for final goods equals the aggregate supply of final goods, the final goods or product market reaches its equilibrium. Aggregate demand for final goods consists of ex ante consumption, ex ante investment, government spending etc. The rate of increase in ex ante consumption due to a unit increment in income is called marginal propensity to consume. For simplicity, we assume a constant final goods price and constant rate of interest over the short run to determine the level of aggregate demand for final goods in the economy. We also assume that the aggregate supply is perfectly elastic at this price. Under such circumstances, aggregate output is determined solely by the level of aggregate demand. This is known as the effective demand principle. An increase (decrease) in autonomous spending causes aggregate output of final goods to increase (decrease) by a larger amount through the multiplier process.

Effective demand principle situation occurs when.....

1. Aggregate supply is only determinant of total output.
2. Aggregate supply is perfectly inelastic.
3. Aggregate demand is only determinant of total output.
4. Aggregate demand and supply determine the total output.

Options 1. 1

2. 2
3. 3
4. 4